

Homework — Stage 09 Feature Engineering

All paths below are inside `homework/homework09/`.

Assignment

In the lecture, we learned how to create new features from raw variables.

Now, you will adapt those ideas to your own project data.

Tasks

1. Create **at least 3** engineered features in your dataset. At least one must encode a categorical column - one-hot, label, or frequency (the lecture demonstrates all three on `region`).
 - Each feature must include:
 - Implementation code
 - Markdown explanation of reasoning
 - Visualization or correlation check
 2. Save your work as **both**:
 - `homework09_feature-engineering_submission.ipynb`
 - AND your helper module `src/features.py`
 3. Commit and push to your repo before the next session.
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Step-by-Step Instructions

1. Copy `stage09_feature-engineering_homework-starter.ipynb` into `homework/homework09/`, rename it `homework09_feature-engineering_submission.ipynb`, and open it.
 2. Replace the sample synthetic data with your project dataset.
 3. Implement at least 3 new features, one of them a categorical encoding.
 4. Document each with a short rationale, naming the stage 08 EDA insight it comes from.
 5. Plot or test the correlation between each feature and the target variable.
 6. Save and commit.
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Grading Rubric (100 points)

- **20 points:** At least three features, one of them a categorical encoding
 - **20 points:** Each feature documented with clear rationale
 - **20 points:** Features connect to EDA insights
 - **20 points:** Code is correct and reproducible
 - **20 points:** Plot or correlation check, with a sentence on what it tells you
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Example Submission Expectation

- Feature 1: `spend_income_ratio`
 - Code snippet: `df['spend_income_ratio'] = df['monthly_spend'] / df['income']`
 - Rationale: "Helps capture proportionality of spending to earning."
- Feature 2: `rolling_spend_mean`
 - Code snippet: `df['rolling_spend_mean'] = df['monthly_spend'].rolling(3).mean()`
 - Rationale: "Captures 3-month trend in spending behavior."